

OPS-RB-004 - Payment and Settlement Recovery Runbook

Runbook | Operations

Document ID	OPS-RB-004	Seller ID	Organization-wide
Department	Operations	Classification	INTERNAL
Owner	Neha Gupta	Created Date	2025-11-12
Related Scenario ID	SC-001, SC-004, SC-007	Document Type	Runbook

1. Purpose

This runbook describes how Operations recovers from a settlement or payment fault: an incorrect payout, a duplicated financial transaction, a missing settlement entry or an incorrect tax document.

Financial recovery differs from other recovery in one respect that governs everything in this document: money that has moved cannot be un-moved by correcting a record. Recovery therefore has two halves, correcting the ledger and settling the difference with the affected party, and the second half is a commercial decision rather than an operational one.

2. Scope

In scope	Out of scope
Incorrect settlement payout amounts	Commission rate disputes
Duplicated refunds or reversals	Fraud investigation
Missing or stale settlement entries	Payment processor outages
Incorrect tax documents requiring credit notes	Buyer payment failures
Reclaiming an overpayment from a seller	Tier or commercial term changes

3. Preconditions

1. The financial fault is confirmed, with a quantity.
2. The affected settlement cycle or transaction window is identified.
3. The Engineering owner has confirmed the cause is no longer active.
4. An Operations recovery owner is named.
5. Where a payout has not yet executed, it has been held.

Hold the payout first. If a cycle is identified as incorrect before payout executes, hold it immediately, before the correct figure is known. Holding is reversible; paying an incorrect amount is not.

4. Responsibilities

Role	Responsibility
Operations recovery owner	Ledger correction, verification, recovery execution
Engineering	Cause confirmation, replay support, data extraction

Role	Responsibility
Business	Who absorbs a cost; recovery terms with the seller
Support	Seller communication and evidence gathering
Settlement desk	Execution of credits, debits and adjustment lines

Operations does not decide who absorbs a financial loss. That is a Business decision under the Payment Settlement Policy.

5. Procedure

Step 1 - Quantify Exactly

An approximate figure is not sufficient for a financial recovery.

1. Extract the affected entries for the window.
2. Compute the correct position independently from source data: order history, return history, commission mapping and tax mapping.
3. State the difference as a precise amount, and as a count of affected entries.
4. Reconcile against the counterparty's own figures where available.

Where a seller has supplied their own reconciliation, use it as a cross-check. A seller's reconciliation that agrees with an independently computed figure is strong evidence; where they disagree, resolve the disagreement before proceeding.

Step 2 - Classify the Fault

Fault	Ledger action	Money action
Under-payment	Correct entries, recompute payout	Credit the difference
Over-payment	Correct entries, recompute payout	Reclaim, staged
Duplicated deduction	Remove duplicate entries	Credit the surplus deducted
Duplicated refund	Record duplicates	Reverse at processor where unsettled; otherwise write off or reclaim
Missing entries	Replay to insert	Credit or debit the net
Incorrect tax rate	Correct mapping	Issue credit notes and re-invoice

Step 3 - Correct the Ledger

1. Obtain replay authorisation before reprocessing any batch. A batch carries a processing token; a second run under the same token requires an operator authorisation with a documented reason.
2. Preserve the incorrect entries until verification completes.
3. Apply the correction in the smallest safe increment.
4. Re-run the ledger invariant checks. All must pass before payout is authorised.

The invariant checks are the control that should catch this class of fault before a seller does. Confirm they pass rather than assuming they were run.

Step 4 - Verify Before Money Moves

Check	Method	Acceptance
Duplicate entries removed	Count of entries per business key	Exactly one
Entry types reconcile	Sum of entry types against batch net	Exact match
Corrected payout accurate	Independent recomputation from source	Exact match
Counterparty agreement	Comparison against seller reconciliation	Agreement, or resolved difference
Historical exposure	Back-test the fault pattern over 12 months	Any further instances identified

The back-test is not optional. A financial defect that has existed for some time has usually produced smaller, undetected errors earlier. In March 2026 a twelve-month back-test of a deduplication fault found two further low-value anomalies from 2025 that nobody had reported.

Step 5 - Settle the Difference

Where the platform owes the seller

1. Credit the amount in the current cycle, or as a discrete credit where timing matters.
2. Do not net a platform error against unrelated deductions. A correction should be visible as a correction.
3. Confirm receipt with the seller.

Where the seller owes the platform

1. Refer terms to Business before communicating anything to the seller.
2. Default to **staged recovery across settlement cycles**, not a single debit, where the seller did not cause the error.
3. Apply no interest or fee where the seller did not cause the error.
4. Where the amount is uneconomic to pursue, recommend write-off with a rationale and a named approver.

In September 2026 an excess of INR 1,18,000 was recovered from a cash-constrained grocery seller across four settlement cycles with no fee. A single debit would have been operationally simpler and would have caused real harm to a seller who had not caused the error.

Where a customer received money incorrectly

1. Reverse at the payment processor where the transaction is unsettled.
2. Where settled, do not pursue the customer unless the amount is material and pursuit is proportionate. In practice most such amounts are written off.

Step 6 - Tax Document Correction

1. Correct the tax category mapping before issuing any document.

2. Issue a credit note against each incorrect invoice and re-issue at the correct rate. Do not correct a tax position with a single net adjustment line; the counterparty needs one corrective document per invoice for its own filing.
3. Confirm with the seller that their filing position is restored.
4. Verify that the mapping correction holds for newly created listings, not only for existing ones.

Step 7 - Close

1. Record the quantity, the correction, the verification evidence and the settlement terms.
2. Confirm preventive actions have owners and dates.
3. Confirm the seller has been told the outcome.
4. Sign off recovery.

6. Decision Points

Decision	Criterion	Owner
Hold a payout	Cycle suspected incorrect	Operations, immediately
Authorise a replay	Cause mitigated, reason documented	Operations
Who absorbs a cost	Responsibility under the Payment Settlement Policy	Business
Staged versus single recovery	Seller causation and cash position	Business
Write off an amount	Pursuit disproportionate to value	Business
Release the corrected payout	All verification checks passed	Operations

7. Exceptions

A payout may be released with a known residual difference where the residual is quantified, below a materiality threshold agreed with Business, and recorded. An unquantified difference is never acceptable.

Recovery may be deferred past a cycle where deferral reduces harm, for example to avoid a debit during a seller's peak stock purchasing period. This requires Business agreement.

8. Escalation

Situation	Escalate to	Timeframe
Payout already executed at an incorrect amount	Business and Operations lead	Immediately
Verification fails after correction	Engineering incident owner	Immediately, halt recovery
Seller disputes the corrected figure	Business	Within 1 working day
Back-test finds further historical instances	Engineering and Business	Within 1 working day
Recovery amount exceeds the materiality threshold	Business	Before communicating to the seller

9. Post-Incident Actions

- 1. Confirm whether the fault was detected internally or by the seller.

Settlement faults detected by a seller indicate a missing variance control.

- 2. Confirm the ledger invariants cover the fault pattern found. Add an invariant where they do not.

- 3. Confirm that variance detection would now catch the same fault before payout.

- 4. Record the fault pattern for future back-tests.

10. Revision History

Version	Date	Change
1.0	2024-08-20	Initial runbook
2.0	2025-11-12	Separated ledger correction from money settlement
2.1	2026-03-27	Hold payout on suspicion; 12-month back-test made mandatory
2.2	2026-07-31	Replay authorisation and processing tokens
2.3	2026-09-26	Staged recovery default; tax credit note guidance added